

2023 State of the Union Address by President von der Leyen

EUROPEAN GREEN DEAL

Honourable Members,

Four years ago, the European Green Deal was our **answer to the call of history**.

And this summer – the hottest ever on record in Europe – was a stark reminder of that.

Greece and Spain were struck by ravaging wildfires – and were hit again only a few weeks later by devastating floods.

And we saw the **chaos and carnage** of extreme weather – from Slovenia to Bulgaria and right across our Union.

This is the reality of a boiling planet.

The European Green Deal was born out of this necessity to protect our planet.

But it was also designed as an opportunity to preserve our future prosperity.

We started this mandate by setting a long-term perspective with the climate law and the 2050 target.

We shifted the climate agenda to being an **economic** one.

This has given a **clear sense of direction for investment and innovation**.

And we have already seen this **growth strategy delivering** in the short-term.

Europe's industry is showing every day that it is ready to power this transition.

Proving that **modernisation and decarbonisation** can go hand in hand.

In the last five years, the number of **clean steel factories** in the EU has grown from zero to 38.

We are now attracting **more investment in clean hydrogen** than the US and China **combined**.

And tomorrow I will be in Denmark with Prime Minister Mette Frederiksen to see that innovation first hand.

We will mark the launch of the first container ship, powered by clean methanol made with solar energy.

This is the strength of Europe's response to climate change.

The European Green Deal provides the necessary frame, incentives, and investment – but it is the people, the inventors, the engineers who develop the solutions.

And this is why, Honourable Members,

as we enter the **next phase** of the European Green Deal, one thing will never change.

We will keep supporting European industry throughout this transition.

We started with a package of measures – **from the Net-Zero Industry Act to the Critical Raw Materials Act.**

With our **Industry Strategy**, we are looking at the risks and needs of each ecosystem in this transition.

We need to finish this work.

And with this, we need to develop an approach for each industrial ecosystem.

Therefore, starting from this month, we will hold **a series of Clean Transition Dialogues** with industry.

The **core aim** will be to support every sector in building its business model for the decarbonisation of industry.

Because we believe that this transition is essential for our future competitiveness in Europe.

But this is just as much about the **people and their jobs of today.**

Our **wind industry**, for instance, is a European success story.

But it is currently **facing a unique mix of challenges.**

This is why we will put forward a **European Wind Power package** – working closely with industry and Member States.

We will fast-track permitting even more.

We will improve the auction systems across the EU.

We will focus on skills, access to finance and stable supply chains.

But this is **broader** than one sector:

From wind to steel, from batteries to electric vehicles, our ambition is crystal clear: **The future of our clean tech industry has to be made in Europe.**

Honourable Members,

This shows that when it comes to the European Green Deal:

We stay the course.

We stay ambitious.

We stick to our growth strategy.

And we will always strive for a fair and just transition!

That means a fair outcome for future generations – to live on a healthy planet.

And a fair journey for all those impacted – with **decent jobs and a solemn promise to leave no one behind.**

Just think about **manufacturing jobs and competitiveness**: a topic we are discussing a lot these days.

Our industry and tech companies **like** competition.

They **know** that global competition is **good** for business.

And that it **creates** and **protects** good jobs here in Europe.

But competition is **only true** as long as it is **fair**.

Too often, our companies are excluded from foreign markets or are victims of predatory practices.

They are often **undercut by competitors** benefitting from huge state subsidies.

We **have not forgotten** how China's **unfair trade practices** affected our **solar industry**.

Many young businesses were pushed out by heavily subsidised Chinese competitors.

Pioneering companies had to file for bankruptcy.

Promising talents went searching for fortune abroad.

This is why **fairness** in the global economy is so important – because it affects lives and livelihoods.

Entire industries and communities depend on it.

So, we have to be clear-eyed about the risks we face.

Take the electric vehicles sector.

It is a crucial industry for the clean economy, with a huge potential for Europe.

But global markets are now **flooded** with cheaper Chinese electric cars.

And their price is kept **artificially** low by huge state subsidies.

This is distorting our market.

And as we do not accept this from the inside, we do not accept this from the outside.

So I can announce today that the Commission is launching an **anti-subsidy investigation into electric vehicles coming from China.**

Europe is open for competition. Not for a race to the bottom.

We must defend ourselves against unfair practices.

But equally, it is vital to keep **open lines of communication and dialogue with China.**

Because there **also are** topics, where we can and have to cooperate.

De-risk, not decouple – this will be my approach with the Chinese leadership at the EU-China Summit later this year.

ECONOMY, SOCIAL AND COMPETITIVENESS

Honourable Members,

A fair transition for farmers, families and industry.

This is the hallmark of this Mandate.

And it is all the more important as we face strong economic headwinds.

I see three major economic challenges for our industry in the year ahead: labour and skills shortages, inflation, and making business easier for our companies.

The first has to do with our labour market.

We have **not** forgotten the early days of the global pandemic.

When everyone predicted a **new wave of 1930-style mass unemployment.**

But we defied this prediction.

With SURE – the first-ever European short-time work initiative – we saved 40 million jobs.

This is Europe's social market economy in action.

And we can be proud of it!

We then immediately restarted our economic engine thanks to NextGenerationEU.

And today we see the results.

Europe is close to full employment.

Instead of millions of people looking for jobs, millions of jobs are looking for people.

Labour and skills shortages are reaching record levels – both here and across all major economies.

74% of SMEs are saying they are facing skill shortages.

In the peak of the tourist season, restaurants and bars in Europe are running reduced hours because they cannot find staff.

Hospitals are postponing treatment because of lack of nurses.

And two thirds of European companies that are looking for IT specialists cannot find them.

At the same time **millions of parents** – mostly mothers – are struggling to reconcile work and family, **because there is no childcare.**

And 8 million young people are neither in employment, education or training.

Their dreams put on hold, their lives on stand-by.

This is not only the cause of so much personal distress.

It is also one of the most significant bottlenecks for our competitiveness.

Because labour shortages hamper the capacity for innovation, growth and prosperity.

So we need to improve access to the labour market.

Most importantly for **young people, for women.**

And we need **qualified migration.**

In addition, we need to respond to the **deep-rooted shifts in technology, society and demography.**

And for that, we should rely on the expertise of **businesses and trade unions, our collective bargaining partners.**

It is almost forty years since Jacques Delors convened the Val Duchesse meeting that saw the birth of European social dialogue.

Since then, social partners have shaped the Union of today – ensuring progress and prosperity for millions.

And as the world around us changes faster than ever, social partners must again be at the heart of our future.

Together we must focus on the challenges facing the labour market – from skills and labour shortages, to new challenges stemming from AI.

This is why together with **the Belgian Presidency** next year, we will convene a **new Social Partner Summit once again at Val Duchesse**.

The future of Europe will be built **with and by our social partners**.

The third challenge for European companies is about making it easier to do business.

Small companies do not have the capacity to cope with complex administration.

Or they are held back by lengthy processes.

This often means they do less with the time they have – and that they miss out on opportunities to grow.

This is why – before the end of the year – we will appoint an **EU SME envoy** reporting directly to me.

We want to hear directly **from small and medium sized businesses**, about their everyday challenges.

For every new piece of legislation we conduct a **competitiveness check** by an **independent board**.

And next month, we will make the first **legislative proposals towards reducing reporting obligations** at the European level by 25%.

Honourable Members,

Let's be frank – this will not be easy.

And we will need your support.

Because this is a **common endeavour for all European institutions**.

So we also have to work with Member States, to match the 25% at **national** level.

It is time to make business easier in Europe!

But European companies also need **access to key technologies** to innovate, develop and manufacture.

This is a question of **European sovereignty** as the Leaders underlined in Versailles.

It is an **economic and national security imperative** to preserve a European edge on critical and emerging technologies.

This European industrial policy also requires **common European funding**.

This is why – as part of our proposal for a review of our budget – we proposed the STEP platform.

With STEP we can **boost, leverage and steer** EU funds to invest in everything from **microelectronics to quantum computing and AI**.

From biotech to clean tech.

Our companies need this support now – so **I urge for a quick agreement on our budget proposal**.

And I know I can count on this House.

And there is **more** when it comes to **competitiveness**.

We have seen real bottlenecks along **global supply chains**, including because of the **deliberate policies of other countries**.

Just think about **China's export restrictions** on **gallium** and **germanium** – which are essential for goods like **semiconductors** and **solar panels**.

This shows why it is so important for Europe **to step up on economic security**.

By de-risking and not decoupling.

And I am **very proud** that this concept has found **broad support from key partners**.

From **Australia to Japan and the United States**.

And many other countries around the world **want to work together**.

Many are overly dependent on a **single supplier** for critical minerals.

Others – from Latin America to Africa – want to **develop local industries for processing and refining**, instead of **just shipping** their resources abroad.

This is why later this year we will convene the **first meeting of our new Critical Raw Materials Club**.

At the same time, we will **continue to drive open and fair trade.**

So far, we have concluded new free trade agreements with **Chile, New Zealand and Kenya.**

We should aim to complete deals with **Australia, Mexico and Mercosur by the end of this year.**

And soon thereafter with India and Indonesia.

Smart trade delivers good jobs and prosperity.

Honourable Members,

These three challenges – labour, inflation and business environment – come at a time when we are also asking industry to lead on the clean transition.

So we need to look further ahead and set out **how** we remain competitive as we do that.

This is why I have asked Mario Draghi – one of Europe's great economic minds – to prepare a **report on the future of European competitiveness.**

Because Europe will do “whatever it takes” to keep its competitive edge.